Privatizing the Commercial Public Sector

The rise of communism and socialism made governments in many parts of the world producers of private goods, often replacing the private sector. Almost invariably, the world over, governments have been poor producers of private goods and services. In most countries in the world today, the state is taking a backseat in the production of private goods and services.

In India, too, the state had de-privatized industrial production and created a very large public sector following the first fundamental economic policy reset after Independence (IPR-1948, IDRA-1951, IPR-1956 and the licencing policies, bank nationalization and MRTP Act). The second fundamental policy reset in 1991 has succeeded in stopping the public-sector juggernaut and bringing the private sector into almost every sector of the economy in the production and distribution of private goods.

Unfortunately, the government still spends enormous amounts of public resources on sustaining the inefficient public sector, which continues to be present in the production of private goods. The public sector also distorts economy in several areas. The government needs to completely get out of the production of private goods and services. This would necessitate privatization of the commercial public sector (PSUs that produce and distribute private goods like steel, cement, fertilizers, seeds, electrical machines, power plants and consumer goods).

Reforming Government Expenditures

The rightful function of the state is to produce and deliver public goods and services to people and to redistribute income and wealth to afford a minimum standard of quality life to all and to invest in human capital. This would require expenditure systems to be overhauled and reformed.

Growth is good and wholesome if the national income it generates is fairly distributed such that the animal spirits of entrepreneurs remain high